CONSTITUTION
OF
PENTAGON WELFARE ASSOCIATION

TABLE OF CONTENTS

PREAMBLE 3
PART I: NAME AND OBJECTIVES 3
PART II: MEMBERSHIP 3
PART III: LEADERSHIP AND OFFICIALS 4
PART IV: MEETINGS 5
PART V: CONTRIBUTIONS AND SAVINGS 5
PART VI: LOANS 6
PART VII: WELFARE FUND 6
PART VIII: INVESTMENTS 7
PART IX: FINANCIAL MANAGEMENT 7
PART X: DISCIPLINE AND DISPUTE RESOLUTION 7
PART XI: AMENDMENTS 7
PART XII: DISSOLUTION 8
ADOPTION 8

PREAMBLE

We, the members of Pentagon Welfare Association, being desirous of promoting savings, mutual welfare, and economic empowerment among ourselves, do hereby establish this Constitution to govern our conduct, rights, and obligations as members.

PART I: NAME AND OBJECTIVES

1. The name of the Association shall be Pentagon Welfare Association.

2. The objectives of the Association shall be to:

- Mobilize regular savings among members.
- Provide affordable credit to members for development and personal needs.
- Provide welfare support to members and their immediate families during bereavement, illness, and other defined life events as provided in Part VII.
- Invest collectively in income-generating ventures for the benefit of members.
- Promote unity, discipline, and mutual support among members.
- Reinvest income earned from other investments.

PART II: MEMBERSHIP

3. Membership shall be open to persons of good character who are at least eighteen (18) years old and are willing to abide by this Constitution.

4. The Association shall consist of a minimum of 3 members. Any change to this range shall require approval by a two-thirds majority of members present at a general meeting.

5. A new member shall pay a one-off, non-refundable registration fee of KES 1,000, payable within fourteen (14) days of registration.

6. Every member shall have the right to: attend and vote at meetings; access the Association's financial records and minutes upon request; apply for a loan once eligible; and receive welfare support as provided in Part VII.

7. Every member shall be obligated to: attend meetings regularly; pay contributions on time; participate in welfare obligations; and conduct themselves with honesty and respect toward fellow members.

8. A member may be expelled for: persistent non-payment of contributions exceeding three (3) consecutive months without justification; theft or fraud against the Association; conduct that brings the Association into disrepute; or gross misconduct at meetings. Expulsion shall require a two-thirds majority vote at a general meeting, and the affected member shall first be given an opportunity to be heard.

9. A member wishing to exit voluntarily shall give written notice of thirty (30) days to the Secretary. Their accumulated benefits, less any outstanding obligations, shall be payable within ninety (90) days.

PART III: LEADERSHIP AND OFFICIALS

10. The Association shall be led by an Executive Committee comprising the following officials, elected by a simple majority of members present at the Annual General Meeting (AGM):

Office	Core mandate
Chairperson	Presides over meetings, casts the deciding vote in the event of a tie, signs bank account, represents the Association externally.
Vice-Chairperson	Deputises the Chairperson and takes over all duties in their absence.
Secretary General	Records and circulates minutes, keeps the members' register, handles official correspondence, signs bank account.
Treasurer	Receives and banks contributions, maintains financial records, prepares statements.
Organising Secretary	Mobilises members for meetings and events, coordinates welfare visits and venue arrangements, signs bank account
Patron	Mobilises members and resources for the Association's objectives, serves as the link between the Association and external parties, intervenes on matters of discipline requiring the Association's attention, and ensures adherence to the Association's core values.

11. Officials shall serve a term of two (2) years and may be re-elected for further terms, whether consecutive or non-consecutive, not exceeding six (6) years in total.

12. An official may be removed before the end of their term through a vote of no confidence, supported by at least two-thirds of members present at a general meeting called for that purpose.

13. The Association's bank/mobile money account shall require any two (2) of the three signatories (Chairperson, Secretary General, Organising Secretary) to authorise a transaction.

14. To be eligible for the office of Patron, a person must be a founding member of the Association. "Founding member" for purposes of this Constitution means a member who was present at the initial meeting at which the idea of forming the Association was conceived. A person who is not

a founding member may be eligible for the office of Patron if seconded by a majority of the founding members. The office of Patron shall be excluded from the term limit set out in Clause 12.

PART IV: MEETINGS

15. The Association shall have regular monthly meetings (virtually or physically), on a date and venue/channel agreed upon and communicated by the Secretary in advance.

16. A quorum shall consist of at least two-thirds of registered members. No binding decision shall be made in the absence of a quorum.

17. i. A member arriving more than thirty (30) minutes after the scheduled start time, without prior communication of at least thirty (30) minutes to the Secretary, shall be considered late and fined KES 200.

ii. A member who is absent without prior communication to the Secretary at least one (1) day before the meeting date shall be fined KES 300.

18. The Secretary shall record minutes of every meeting, which shall be read and confirmed at the start of the following meeting.

19. The AGM shall be held once every year to review the Association's performance, approve its accounts, and, where applicable, conduct elections. The Association shall hold its Annual General Meeting once in every calendar year, within three months following the end of its financial year. For the purposes of this Constitution, the financial year shall run from 1 January to 31 December.

PART V: CONTRIBUTIONS AND SAVINGS

20. Each member shall contribute KES 2,000 per month, payable on or before the last date of each calendar month.

21. A member who defaults on a contribution shall be charged a penalty of 10% of the amount due for each month of default.

22. All contributions shall be banked in the Association's official account(s) within seven (7) days of collection, and the Treasurer shall issue a running statement(s) at every meeting.

23. Where the Association operates a merry-go-round or table-banking component, the payout order and amounts shall be set out in a schedule agreed upon by members and attached as an annexure to this Constitution.

PART VI: LOANS

24. A member shall be eligible to apply for a loan after three (3) consecutive months of active contribution and be an active member for at least ninety (90) days.

25. The maximum loan amount shall be determined by the member's credit score, as assessed by the Treasurer.

26. Loans shall attract interest within a given period as defined by the specific loan product(s).

27. Every loan shall require at least two (2) guarantors who are members in good standing, whose guaranteed amount shall be held against their own savings until the loan is fully repaid.

28. A member who defaults on loan repayment for two (2) consecutive months shall have the outstanding balance recovered from their savings and their guarantors' savings, without prejudice to further disciplinary action.

PART VII: WELFARE FUND

29. The Association shall maintain a Welfare Fund to support members during bereavement, illness, marriage, and other life events defined in this Part.

30. "Close relative" for purposes of this Part means a member's spouse, biological or legally adopted child, biological parent, parent-in-law, and sibling. Any extension of this definition (e.g., to grandparents, aunts, uncles, or cousins) must be approved by a general meeting and recorded in writing.

31. Welfare contributions shall be payable per the schedule below. The amount listed against each event is what every individual member contributes; it is not a fixed total to be shared or split among members. Contributions shall be collected within forty-eight (48) hours of notification, either directly member-to-member or through the central Welfare Fund where one is maintained:

Event	Contribution per member
Death of a member	KES 5,000
Death of member's spouse or child	KES 5,000
Death of member's parent (biological or in-law)	KES 5,000
Death of member's sibling	KES 5,000
Marriage of a member	KES 5,000
Birth of a member's child	KES 3,000
Hospitalization exceeding ten (10) days (member or spouse/child)	KES 3,000

32. The affected member must notify the Secretary or Chairperson within forty-eight (48) hours of the event to qualify for support, and must provide reasonable proof (e.g., hospital discharge note) within fourteen (14) days.

33. A member who is more than two (2) months in arrears on welfare contributions at the time of the qualifying event shall still receive welfare support, but the equivalent amount may be deducted from their subsequent payouts or savings, at the Committee's discretion.

34. Welfare contributions can be used to settle the welfare support.

35. Each member shall contribute KES 300 per month to the Welfare Fund, payable on or before the last date of each calendar month.

PART VIII: INVESTMENTS

36. The Association may invest surplus funds in approved vehicles including, but not limited to: fixed deposit accounts, money market funds, SACCO shares, land, or approved business ventures.

37. No investment exceeding KES 50,000 shall be undertaken without approval by a majority vote at a general meeting.

38. Returns from investments may be reinvested or distributed to members as dividends, in a ratio to be determined annually by the AGM.

PART IX: FINANCIAL MANAGEMENT

39. The Treasurer shall maintain accurate records of all income and expenditure and present a financial report at every meeting.

40. The Association's accounts shall be audited internally every six (6) months by a committee of two (2) members who are not signatories, and externally at least once a year.

41. All mobile money transactions relating to Association funds shall be conducted through an official, dedicated line/till, and statements shall be availed to members on request.

PART X: DISCIPLINE AND DISPUTE RESOLUTION

42. Any dispute between members, or between a member and the Committee, shall first be raised with the Chairperson and, where unresolved, referred to the full membership at a general meeting.

43. Where a dispute remains unresolved after being raised at a general meeting, it may be referred to an independent elder or mediator agreed upon by the parties, before resort to any external authority.

PART XI: AMENDMENTS

44. This Constitution may be amended by a resolution supported by at least two-thirds of registered members, at a meeting called specifically for that purpose with at least fourteen (14) days' notice.

45. The Constitution shall be formally reviewed at least once every two (2) years, whether or not amendments are proposed.

PART XII: DISSOLUTION

46. The Association may be dissolved upon a resolution supported by at least two-thirds of registered members at a general meeting called for that purpose.

47. Upon notice of dissolution, all outstanding loans shall first be recovered, all liabilities settled, and the remaining assets and funds distributed among members in proportion to their accumulated savings at the date of dissolution.

ADOPTION

We, the undersigned, being members of Pentagon Welfare Association, hereby adopt this Constitution as the governing document of the Association on this ____ day of _____, 20____.

Calvince Obuya – Chairperson and Patron

Signature: _____ Date: _____

Kevin Ogutu – Organising Secretary and Secretary General

Signature: _____ Date: _____

Gideon Ashindu – Treasurer

Signature: _____ Date: _____

Jactone Owino – Vice-Chairperson and Deputy Patron

Signature: _____ Date: _____